

22STCV21799 22STCV21799

County: los-angeles

Division: Civil Law and Motion

Department: 415

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Case Number: 22STCV21799 Hearing Date: September 17, 2026 Dept: 415

Tentative Ruling

Judge Rolf M. Treu, Department 415

HEARING DATE: September 17, 2026 TRIAL DATE: Trial complete

CASE: 3800 West Sixth Street, LLC, et al. v. Steven C. Kim., et al.

CASE NO.: 22STCV21799

MOTION FOR ATTORNEYS' FEES

MOVING PARTY/PARTIES: Defendants Susan Ahn and Serrano & Sixth LLC

RESPONDING PARTY/PARTIES: Plaintiffs 3800 West Sixth Street, LLC and Leo Lee

PROOF OF SERVICE: Plaintiffs oppose motion on the merits, and thereby waived any procedural objections. (See In re Marriage of Falcone (2008) 164 Cal.App.4th 814, 826.)

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CASE HISTORY:

- July 6, 2022: Complaint filed.
- January 5, 2023: First amended complaint filed.
- November 14, 2024: Defendants' motions for summary judgment denied.

- September 4, 2025: Court trial commenced.
- October 1, 2025: Court trial concluded.
- February 13, 2026: Court issued statement of decision after trial in favor of Defendants.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Defendants Susan Ahn and Serrano & Sixth LLC ("Defendants") prevailed at trial against Plaintiffs 3800 West Sixth Street, LLC and Leo Lee ("Plaintiffs"). Defendants move to recover their attorneys' fees in this case. Plaintiffs oppose the motion.

TENTATIVE RULING:

Defendants' motion for attorneys' fees is DENIED.

Moving party to give notice.

DISCUSSION:

The prevailing party must seek an award of attorneys' fees via a noticed motion, and bears the burden of proof to justify the amount sought. (See Code Civ. Proc., § 1033.5, subd. (c)(5)(A).)

Contractual provision

Defendants contend they are entitled to recover attorneys' fees under the Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions. In an action to enforce a contract that authorizes an award of attorneys' fees, the party "prevailing on the contract" is entitled to recover attorneys' fees. (Civ. Code, § 1717.) Here, in the operative first amended complaint, Plaintiffs did not sue Defendants for breach of contract. Plaintiffs sued Defendants for misappropriation of trade secrets, unfair competition, and interference with prospective economic advantage. Plaintiffs did not seek attorneys' fees. (See First Amended Complaint.) As such, Plaintiffs did not sue Defendants on the Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions, and Defendants did not prevail on a breach of contract claim. Defendants are not entitled to recover attorneys' fees under the Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions.

In support of the argument that Defendants are entitled to recover fees under the Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions, Defendants mischaracterize the holding of *Lerner v. Ward* (1993) 13 Cal.App.4th 155. In that case, the Court of Appeal held that a party cannot recover attorneys' fees based on a contract where the claims on which the party prevailed were tort claims, rather than contract claims. (*Lerner v. Ward* (1993) 13 Cal.App.4th 155, 159.) As such, *Lerner v. Ward* (1993) 13 Cal.App.4th 155 does not support Defendants' argument that Defendants are entitled to recover fees.

Civil Code section 3426.4

Defendants seek attorneys' fees and costs under Civil Code section 3426.4. Civil Code section 3426.4 allows the Court to award reasonable attorney's fees and costs to the prevailing party where the other party has made a claim of misappropriation of trade secrets in bad faith. (Civ. Code, § 3426.4.) Under Civil Code section 3426.4, for a claim to have been made in bad faith, the claim must have been objectively specious, and must have been maintained in subjective bad faith. (Gemini Aluminum Corp. v. California Custom Shapes, Inc. (2002) 95 Cal.App.4th 1249, 1261-1262.) As set forth above, Plaintiffs sued Defendants for misappropriation of trade secrets. Defendants prevailed on that claim. As such, Defendants are entitled to recover fees for defending the claim for misappropriation of trade secrets if the claim was frivolous and Plaintiffs acted in bad faith. As Defendants point out, the Court granted summary adjudication of Plaintiffs' claim for misappropriation of trade secrets. (November 14, 2024 Minute Order.) However, Plaintiffs' claim for misappropriation of trade secrets is not frivolous simply because Defendants prevailed on the claim. Further, Defendants do not address the issue of Plaintiffs' bad faith. The Court does not infer that Plaintiffs acted in bad faith because their claim for misappropriation of trade secrets failed. By Defendants' reasoning, any failed claim is frivolous and in bad faith. Accordingly, Defendants fail to show they are entitled to recover fees under Civil Code section 3426.4.

Accordingly, Defendants' motion for attorneys' fees is DENIED.

Moving party to give notice.

IT IS SO ORDERED.

Dated: September 17, 2026 _____

Rolf M. Treu

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at SMCDept415@lacourt.ca.gov by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.

Tentative Ruling

Judge Rolf M. Treu, Department 415

HEARING

DATE: September 17, 2026 TRIAL

DATE: Trial complete

CASE: 3800 West Sixth Street, LLC, et al. v.

Steven C. Kim., et al.

CASE

NO.: 22STCV21799

MOTION FOR

ATTORNEYS' FEES

MOVING PARTY/PARTIES: Defendant

Steven C. Kim

RESPONDING PARTY/PARTIES: Plaintiffs 3800 West Sixth Street, LLC and

Leo Lee

PROOF OF SERVICE: Plaintiffs oppose motion on the

merits, and thereby waived any procedural objections. (See *In re Marriage of Falcone* (2008)

164 Cal.App.4th 814, 826.)

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CASE HISTORY:

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July 6, 2022: Complaint filed.

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January 5, 2023: First amended

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commenced.

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October 1, 2025: Court trial

concluded.

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February 13, 2026: Court issued

statement of decision after trial in favor of Defendant.

STATEMENT OF MATERIAL FACTS AND/OR

PROCEEDINGS:

Defendant

Steven C. Kim ("Defendant") prevailed at trial against Plaintiffs 3800 West

Sixth Street, LLC and Leo Lee ("Plaintiffs").

Defendant moves to recover his attorneys' fees in this case. Plaintiffs oppose the motion.

TENTATIVE RULING:

Defendant's

motion for attorneys' fees is DENIED.

Moving

party to give notice.

DISCUSSION:

The prevailing party must seek an

award of attorneys' fees via a noticed motion, and bears the burden of proof to

justify the amount sought. (See Code

Civ. Proc., § 1033.5, subd. (c)(5)(A).)

Contractual

provision

Defendant

contends he is entitled to recover attorneys' fees under the Agreement for

Purchase and Sale of Real Property and Joint Escrow Instructions. Defendant is not a party to the

contract. As a non-signatory to the Agreement

for Purchase and Sale of Real Property and Joint Escrow Instructions, Defendant

is entitled to recover fees if Plaintiffs sued Defendant on the

Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions,

Defendant prevailed on the breach of contract claim, and Plaintiffs would have

had a right to recover fees had Plaintiffs prevailed. (Reynolds Metals Co. v. Alperson

(1979) 25 Cal.3d 124, 128-129.) Here, in

the operative first amended complaint, Plaintiffs did not sue Defendant for

breach of contract. Plaintiffs sued

Defendant for misappropriation of trade secrets, breach of fiduciary duty,

unfair competition, and interference with prospective economic advantage. Plaintiffs did not seek attorneys' fees. (See First Amended Complaint.) As such, Plaintiffs did not sue Defendant on

the Agreement for Purchase and Sale of Real Property and Joint Escrow

Instructions, and Defendant did not prevail on a breach of contract claim. Defendant is not entitled to recover

attorneys' fees under the Agreement for Purchase and Sale of Real Property and

Joint Escrow Instructions.

In

support of his argument that Defendant is entitled to recover fees under the

Agreement for Purchase and Sale of Real Property and Joint Escrow Instructions,

Defendant mischaracterizes the holding of *Lerner v. Ward* (1993) 13 Cal.App.4th

155. In that case, the Court of Appeal

held that a party cannot recover attorneys' fees based on a contract where the

claims on which the party prevailed were tort claims, rather than contract

claims. (*Lerner v. Ward* (1993) 13

Cal.App.4th 155, 159.) As such, *Lerner*

v. Ward (1993) 13 Cal.App.4th 155 does not support Defendant's argument

that Defendant is entitled to recover fees.

Likewise,

Defendant's reliance on *Kangarlou v. Progressive Title Co.* (2005) 128 Cal.App.4th

1174 is misplaced. In that case, the

Court of Appeal held that a claim for breach of fiduciary duty may be a

contract claim or a tort claim and entitlement to attorneys' fees on a claim

for breach of fiduciary duty depends on whether the claim is based on

contractual duties. (Kangarlou v.

Progressive Title Co. (2005) 128 Cal.App.4th 1174, 1177.) Plaintiffs' claim for breach of fiduciary

duty against Defendant is based on Defendant's fiduciary duty as an

attorney. (See First Amended Complaint,

¶ 33,) As such, it is a tort claim, not

a contract claim.

Defendant

also cites Wong v. Davidian (1988) 206 Cal.App.3d 264. In that case, the Court of Appeal held that

attorneys' fees are recoverable in an action for reformation of contract. (Wong v. Davidian (1988) 206 Cal.App.3d

264, 271.) No such claim is at issue

here.

Defendant

argues he is entitled to attorneys' fees as a third-party beneficiary of the

Agreement for Purchase and Sale of Real Property and Joint Escrow

Instructions. That is immaterial, as Plaintiffs

did not sue Defendant on the Agreement for Purchase and Sale of Real Property

and Joint Escrow Instructions. Furthermore,

Defendant makes no showing that he is a third-party beneficiary. A

third-party beneficiary to a contract may enforce a contract if the third party

shows that the third party is likely to benefit from the contract, a motivating

purpose of the contracting parties was to provide the third

party with a benefit, and permitting the third party to enforce the contract is

consistent with the contract's objectives and the contracting parties'

reasonable expectations. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817,

821.) Defendant fails to address these

factors. (See Motion for Attorneys'

Fees, pp. 11-12.)

Civil

Code section 3426.4

Defendant

also seeks attorneys' fees and costs under Civil Code section 3426.4. Civil Code section 3426.4 allows the Court to

award reasonable attorney's fees and costs to the prevailing party where the

other party has made a claim of misappropriation of trade secrets in bad

faith. (Civ. Code, § 3426.4.) Under Civil Code section 3426.4, for a claim

to have been made in bad faith, the claim must have been objectively specious,

and must have been maintained in subjective bad faith. (Gemini Aluminum Corp. v. California Custom

Shapes, Inc. (2002 95 Cal.App.4th 1249, 1261-1262.) As set forth above, Plaintiffs sued Defendant for misappropriation of trade secrets.

Defendant prevailed on that claim.

As such, Defendant is entitled to recover fees for defending the claim for misappropriation of trade secrets if the claim was frivolous and Plaintiffs acted in bad faith. As Defendant points

out, the Court granted summary adjudication of Plaintiffs' claim for

misappropriation of trade secrets. (November

14, 2024 Minute Order.) However, Plaintiffs'

claim for misappropriation of trade secrets is not frivolous simply because

Defendant prevailed on the claim.

Further, the Court does not infer that Plaintiffs acted in bad faith

because their claim for misappropriation of trade secrets failed. By Defendant's reasoning, any failed claim is

frivolous and in bad faith. Accordingly,

Defendant fails to show he is entitled to recover fees under Civil Code section

3426.4.

Code

of Civil Procedure section 2033.420

"Under

Code of Civil Procedure section 2033.420, a party who unreasonably

denies a request for admission may be required to pay the requesting party its reasonable expenses (including reasonable attorney's fees) incurred in proving the truth of the matter at trial." (In re Estate of Manuel (2010)

187 Cal.App.4th 400, 402.) Defendant

argues that Plaintiffs unreasonably denied certain requests for admissions that

Defendant propounded on Plaintiffs.

Defendant contends he proved the matters set forth in the requests for

admissions at trial. Defendant does not,

however, address the issue of whether Plaintiffs' denial of the requests for

admissions was unreasonable. (See Motion

for Attorneys' Fees, pp. 16-17.) Accordingly,

Defendant fails to show he is entitled to recover fees under Code of Civil

Procedure section 2033.420.

Accordingly,

Defendant's motion for attorneys' fees is DENIED.

Moving

party to give notice.

IT

IS SO ORDERED.

Dated: September 17, 2026 _____

Rolf

M. Treu

Judge

of the Superior Court

Any party may submit on the tentative ruling by

contacting the courtroom via email at SMCDept415@lacourt.ca.gov by no later

than 4:00 p.m. the day before the hearing. All interested parties

must be copied on the email. It should be noted that if you submit

on a tentative ruling the court will still conduct a hearing if any party

appears. By submitting on the tentative you have, in essence, waived your right

to be present at the hearing, and you should be aware that the court may not

adopt the tentative, and may issue an order which modifies the tentative ruling

in whole or in part.